THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, CHANDIGARH

C.A.(CAA)/ 5/Chd/Hry/2024
(1st Motion)

Under Sections 230 to 232 of the Companies Act, 2013, read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT OF:

Sietz Technologies India Private Limited
with its registered office at
Plot No. – 38, Sector – 6,
Faridabad,
Haryana – 121 006, India
PAN: AAACN0153A and
CIN: U74899HR1975PTC107706 …Applicant Company 1 / Demerged Company

And

Sietz Auto Technologies Private Limited
with its registered office at
Plot No. – 38**,** Sector – 6,
Faridabad,
Haryana – 121 006, India
PAN: ABMCS2545L and
CIN: U29300HR2023PTC117048 …Applicant Company 2 /Resulting Company

Order delivered on: 31 .05.2024

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. L. N. GUPTA, MEMBER (TECHNICAL)

Present: -

For the Applicant Companies: Mr. Vaibhav Sharma, Advocate

Per: Harnam Singh Thakur, Member (Judicial)
L.N Gupta, Member (Technical)

ORDER

This is the joint First Motion Application filed by Applicant Companies namely; **Sietz Technologies India Private Limited** (for short, hereinafter referred to as Applicant Company 1 / Demerged Company / STI) and **Sietz Auto Technologies Private Limited** (for short, hereinafter referred to as Applicant Company 2 / Resulting Company / SAT) and their respective shareholders and creditors under section 230-232 of the Companies Act, 2013 (the **"Act"**) and other applicable provisions of the Act read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (the **"Rules"**) in relation to the Composite Scheme of Arrangement (the **"Scheme"**) between the Applicant Companies. The said Scheme is attached as Annexure 1 to the Application.

2. The matter was listed for clarification on 01.05.2024 as it was found that the fact of one Debenture Holder was mentioned without consent affidavit. Moreover, the certificate from the Chartered Accountant certifying the same was not enclosed with. The compliance affidavit is filed vide Dairy No. 00049/3 dated 06.05.2024, wherein it is deposed by the Applicant Companies that there are only two secured creditors of Sietz Technologies India Private Limited (Applicant Company 1), out of which 1 is a secured Debenture Holder i.e. Har Prashad and Company Limited and other one is Axis Bank Limited from whom credit facilities have been obtained by the company. Thus, there is no other debenture holder of the Applicant Company No.1. Further, it has been deposed that there are no secured creditors of Applicant Company 1 and the debentures are accounted for as secured debt in the books of Applicant Company No.1 in accordance with the applicable accounting standards as notified under Section

133 of the Companies Act, 2013 and other generally accepted accounting principles. Independent Auditors Certificate (Annexure A1) dated 02.05.2024 certifying the list of secured creditors of Applicant Company No.1 is also on record.

3. The Applicant Companies have prayed for dispensing with the requirement of convening the meeting of the Equity Shareholders of both Applicant Companies, Debenture Holders, secured and unsecured creditors of Applicant Company No.2. Further, they have prayed to convene the meetings of secured and unsecured creditors of Applicant Company No. 1.

4. The Demerged Company is primarily engaged in the business of manufacturing of agricultural tractor parts (driver seats, castings, air cleaners, front axle, spindle, three-point linkage, tow bracket, break pedals, and other tractor parts), two-wheeler seats, crane parts (tractor frame, drums, and backhoe loader parts) and agri implements. Further, the Demerged Company has investments in securities and immovable property(ies). The Authorised, Issued, Subscribed and Paid-up share capital of Applicant Company 1/ Demerged Company as on September 30,2023 is as follows:-

Particulars	**Amount (INR)**
Authorized Capital	
60,00,000 Equity Shares of INR 10/- each	6,00,00,000
3,00,000 7% Cumulative Redeemable Preference Shares of INR 10/- each	30,00,000
Total	**6,30,00,000**
Issued, Subscribed and Paid-up	
58,50,000 Equity Shares of INR 10/- each	5,85,00,000
Total	**5,85,00,000**

It is submitted that subsequent to September 30, 2023, there has been no change in issued, subscribed and paid-up capital of the Applicant Company 1 / Demerged Company.

5. The Resulting Company is engaged in, inter-alia, business of manufacturing parts and accessories for motor vehicles. The Authorised, Issued, Subscribed and Paid-up share capital of Applicant Company 2/ Resulting Company as on December 21, 2023 is as follows:-

Particulars	**Amount (INR)**
Authorized Capital	
1,50,000 Equity Shares of INR 10/- each	15,00,000
Total	15,00,000
Issued, Subscribed and Paid-up	
10,000 Equity Shares of INR 10/- each	1,00,000

Total	1,00,000

It is submitted that subsequent to December 21, 2023, there has been no change in issued, subscribed and paid-up capital of the Demerged Company.

6. The Applicant Company 1 / Demerged Company, i.e., Sietz Technologies India Private Limited, CIN: U74899HR1975PTC107706, is a private limited company incorporated under the Companies Act, 1956, on July 31, 1975. The Applicant Company 2 / Resulting Company, i.e., Sietz Auto Technologies Private Limited, CIN: U29300HR2023PTC117048, is a private limited company incorporated under the

Companies Act, 2013, on December 07, 2023. The Applicant Company 2 is a wholly owned subsidiary of Applicant Company 1.

7. It is submitted that the registered offices of the Applicant Companies are situated in the state of Haryana and, therefore, all the applicant companies are under the territorial jurisdiction of this Bench.

8. The rationale of the Scheme as submitted by the Applicant Companies is given below:

i. The Demerged Company is primarily engaged in the business of manufacturing agricultural tractor parts, two-wheeler seats, crane parts and agri implements ("Core Undertaking" more specifically defined in Clause 1.7 of the Scheme). STI also has investments in securities and other assets / properties.

ii. Management believes that the nature of offerings and the risk and return profile of the Core Undertaking of the Demerged Company, being its mainstay, wherein it operates as one of the prominent market / segment players, is different vis-à-vis the other business/assets of the Company.

iii. The demerger will allow the management to devise, implement and pursue independent business strategies for the Demerged Undertaking. The Resulting Company housing Core Business would have wider scope for independent collaboration, investment opportunities and expansion.

iv. Considering the above, the management intends to segregate its Core Undertaking, so as to scale the operations, achieve economies of scale, and unlock the growth potential of Core Business.

v. In order to achieve the aforementioned objective, it is envisaged that the Core Business of the Demerged Company should be demerged into the Resulting Company. It is expected that such restructuring will be beneficial for the Demerged Company, the Resulting Company and their respective shareholders and creditors, as it would result in concentrated focus on the Demerged Undertaking by the Resulting Company and on the Remaining Business / Non-Core Undertaking by the Demerged Company, consequently resulting into

- focused business approach to the respective line of business; and
- enable strategic / financial investment in Core business;

9. It is stated that the Board of Directors of Applicant Companies, in their respective meetings held on December 18, 2023, have considered and unanimously approved the Scheme of Arrangement subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of Applicant Companies are attached as Annexure 4, and Annexure 10, respectively of the Application.

10. The appointed date of the Scheme is April 01, 2024, or such other date as the NCLT may direct, as mentioned in Part A Clause 1.3 of Scheme of Arrangement (Annexure 1).

11. It is stated that the Demerged Company have filed the audited financial statements as on March 31, 2021, March 31, 2022, and March 31, 2023 and provisional financial statements as on September 30, 2023, which are attached as Annexure 3 of the Application. The Resulting Company have filed the provisional financial statements as on December 21, 2023 which are attached as Annexure-9 of the Application.

12. It is further submitted that in pursuance of the proviso to section 230(7) and section 232(3) of the Act, the Applicant Companies have filed the certificates dated December 28, 2023 issued by statutory auditors of Applicant Companies certifying that the Scheme is in compliance with the Accounting Standards under Section 133 of the Act and the same are attached as Annexure 15 of the Application.

13. It is further submitted by the Ld. Counsel for Applicant Companies that as per Share Exchange Ratio Report dated December 18, 2023, issued by Transaction Square Advisory LLP, Registered Valuer – Securities or Financial Assets bearing IBBI Registration No. IBBI/RV-E/06/2023/194 (Annexure 14), the Share Entitlement Ratio in the event of demerger of Demerged Undertaking of Demerged Company into Resulting Company shall be given as below:-

> *"1 (One) equity share of SATPL having face value of INR 10 each fully paid up shall be issued for every 1 (One) equity share of INR 10 each fully paid up held in STIPL"*

14. It is submitted by the Ld. Counsel that the Scheme also takes care of the interests of the staff / workers and employees of the Applicant Companies, by virtue of Part B, Clause 4.4 of the Scheme.

15. It is deposed by the authorized representatives of Applicant Companies that the Applicant Companies are not governed by any specific Regulator, whose approval may be required for sanction of the present Scheme of Arrangement by this Tribunal, except the statutory authorities, as applicable.

16. It is further submitted that there is no requirement for the Applicant Companies to apply to the Competition Commission of India (CCI) for approval of the Scheme of Arrangement.

17. It is deposed by way of affidavit filed vide Dairy No. 00049/2 dated 18.04.2024 that there are no pending investigations or proceedings against the Applicant Company 1- under the provisions of Companies Act, 2013 and under any other law/ regulation, except one litigation bearing number 126 CWP-17097-2018 pending at Punjab and Haryana High Court. In this matter, the Industrial Tribunal Court-cum-Labour Court, Faridabad wherein the court directed Sietz Technologies India Private Limited (Demerged Company / Applicant Company 1) to pay an amount of INR 75,000 to one of its contract workers. It is further submitted that Sietz Technologies India Private Limited (Demerged Company / Applicant Company 1) had deposited the said amount within the allowed time period, however, the award is being challenged by the contract worker before the Hon'ble Punjab & Haryana High Court, where it is pending disposal. It is further submitted that in terms of Clause 4.5 of the Scheme of Arrangement, the abovementioned pending litigation shall be transferred as part of the Demerged Undertaking / Core Undertaking from the Demerged Company (Applicant Company 1) to Resulting Company (Applicant Company 2). It is further submitted that Applicant Company 1 or Applicant Company 2, as the case may be undertakes to honor the decision of Hon"ble Punjab & Haryana High Court in the current pending litigation, subject to legal rights of the Applicant Companies. It is further deposed that payment of the award amount would not be an impediment to the

working of Applicant Company 2 as the award amount of Rs. 75,000/- represented only 0.055% of the Net Assets of the Demerged Undertaking.

18. The proposed Scheme being filed herein does not include reduction of share capital of the Applicant Companies. As per section 230(2)(c) and the applicants have declared that the Scheme being filed herein is not a corporate debt restructuring scheme and hence, a creditor's responsibility statement and other requirements under section 230(2)(c) are not applicable to the present case.

19. The Applicant Companies have furnished the following documents:

i. Proposed Scheme of Arrangement (Annexure 1 of the Application).
ii. Certificate of Incorporation, Memorandum, and Articles of Association of the Applicant Companies (Annexure 2 and Annexure 8, respectively, of the Application).
iii. Master Data of the Applicant Companies (Annexure 17 of the Application)
iv. List of Equity Shareholders of the Demerged Company as on November 30, 2023 duly certified by S.N. Dhawan & Co LLP, Chartered Accountants along with consent affidavits of Equity Shareholders of the Demerged Company (Annexure 5 of the Application).
v. List of Secured Creditors of the Demerged Company as on November 30, 2023, duly certified by S.N. Dhawan & Co LLP, Chartered Accountants (Annexure 6 of the Application).
vi. List of Unsecured Creditors of the Demerged Company as on November 30, 2023, duly certified by S.N. Dhawan & Co LLP, Chartered Accountants (Annexure 7 of the Application).

vii. List of Equity Shareholders of the Resulting Company as on December 21, 2023 duly certified by S.N. Dhawan & Co LLP, Chartered Accountants along with consent affidavits of the Equity Shareholders of the Resulting Company (Annexure 11 of the Application).

viii. List of 'Nil' Secured Creditors of the Resulting Company as on December 21, 2023, duly certified by S.N. Dhawan & Co LLP, Chartered Accountants (Annexure 12 of the Application).

ix. List of 'Nil' Unsecured Creditors of the Resulting Company as on December 21, 2023, duly certified by S.N. Dhawan & Co LLP, Chartered Accountants (Annexure 12 of the Application).

x. Certificates of Statutory Auditors to the effect that the accounting treatment proposed in the Scheme is in conformity with section 133 of the Companies Act, 2013 (Annexure-15 of the Application).

xi. Audited Financial Statement as on March 31, 2021, March 31, 2022, and March 31, 2023 and provisional financial statements as on September 30, 2023 of the Demerged Company (Annexure 3 of the Application).

xii. Provisional Financial Statements for the period ended on December 21, 2023 of the Resulting Company (Annexure 9 of the Application).

xiii. Affidavits qua sectoral regulators of the Applicant Companies (Annexure 16 of the Application).

20. The Applicant Companies have furnished the details of the Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors as follows:

Name of the Applicant Companies	Shareholders along with their consent on affidavit		Creditors along with their consents on affidavit			
	Equity Shareholders	Consents submitted on affidavit	Secured Creditors	Consents submitted on affidavit	Unsecured Creditors	Consents submitted on affidavit
Applicant Company 1	4 (Four)	100% in value and number	2	Meeting to be convened	371	Meeting to be convened
Applicant Company 2	1 (One) (and 1 Nominee shareholder)	100% in value and number	Nil	N.A.	Nil	N.A.

21. Accordingly, this Bench directs as under:

I. **In relation to the Applicant Company 1:**

a) The meeting of the Equity Shareholders of Applicant Company 1 is dispensed with keeping in view the shareholding pattern, financial structure of the company and the fact that the consents have been received by way of affidavits.

b) The physical meeting of the Secured Creditors of the Applicant Company 1 be convened, as prayed for, on July 27, 2024 (Saturday) at 11:00 AM, at Delite Sarovar Portico, Plot No. 17-18, Neelam Bata Road, NIT Faridabad, Haryana - 121001. The quorum of the meeting of the Secured Creditors shall be 2.

c) The physical meeting of the Unsecured Creditors of the Applicant Company 1 be convened as prayed for on July 27, 2024 (Saturday) at 12:30 PM, at Delite Sarovar Portico, Plot No. 17-18, Neelam Bata Road, NIT Faridabad, Haryana - 121001. The quorum of the meeting of the Unsecured Creditors shall be 150 in number or 40% in value of the Unsecured Creditors;

II. **In relation to the Applicant Company 2:**

a) The meeting of the Equity Shareholders of Applicant Company 2 is dispensed with keeping in view the shareholding pattern, financial structure of the company and the fact that the consent by way of affidavits has been received.

b) Since, there are NIL secured and unsecured creditors, therefore there is no scope of any meeting.

III. In case the required quorum as noted above for the meetings is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter, the persons present and voting shall be deemed to constitute the quorum.

IV. It is submitted by the Applicant Companies way of affidavit filed vide Dairy No. 00049/2 dated 18.04.2024 proposing Mr. Amit Chaudhary as Chairperson, Ms. Vedika Gandhi, Advocate as Alternate Chairperson and Mr. Kanwaljit Singh as Company Secretary for the purpose of convening the meetings. Therefore, in view of the same, Mr. Amit Chaudhary, Advocate; Address: Flat No: A-12, Uppal Marble Arch, Near Housing Board Chowk, Manimajra, U.T. Chandigarh; Mobile No. 9216786611, email id: amitchaudhary02@gmail.com is appointed as the Chairperson for the meetings to be called under this order. An amount of ₹1,50,000/- (Rupees One Lakh Fifty Thousand Only) be paid as an honorarium for his services as the Chairperson.

V. Ms. Vedika Gandhi, Advocate, address: #62, Sector 2, Chandigarh, Mobile No. 9876471676, email: vedikagandhi04@gmail.com is appointed as the Alternate Chairperson for the meetings to be called under this order. An amount of

₹1,00,000/- (Rupees One Lakh Only) be paid for her services as the Alternate Chairperson.

VI. Mr. Kanwaljit Singh, Company Secretary, address: SCO 64-65, First Floor Sector 17-A, Chandigarh Mobile No. 9877876140, email id: kanwalcs@gmail.com, is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of ₹1,00,000/- (Rupees One Lakh Only) be paid for his services as the Scrutinizer.

VII. The fee of the Chairperson, Alternate Chairperson and Scrutinizer and other out of pocket expenses for them shall be borne by the Applicant Company No.1.

VIII. It is further directed that along with the notices, Applicant Company No. 1 shall also send, statements explaining the effect of the scheme on the creditors, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme of amalgamation on any material interests of the Directors of the Company or the debenture trustees if any, as provided under sub-section (3) of Section 230 of the Act.

IX. That the Applicant Company No.1 shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meeting, indicating the day, date and place and the time of the meeting as aforesaid, to be published in “Financial Express” (English) and “Jansatta” (Hindi), both in Delhi NCR Edition. The publication shall also indicate that the explanatory statement required to be furnished pursuant to Sections 230 & 232 read with Section 102 of the Companies Act, 2019 can be obtained free of charge at the registered office of the Applicant

Companies. The Applicant Company No.1 shall also publish the notice on its website, if any.

X. Voting shall be allowed on the "Scheme" through electronic means which will remain open for a period as mandated under Clause 8.3 of Secretarial Standards on General Meetings to the Applicant Companies under the Act and the Rules framed thereunder.

XI. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para VIII to X above.

XII. The Chairperson shall be responsible to report the result of the meeting to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 7 (seven) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Companies and the Alternate Chairperson. The Scrutinizer will assist the Hon'ble Chairperson and Alternate Chairperson in preparing and finalizing the report.

XIII. The Applicant Company No. 1 shall individually and in compliance of sub-Section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department through the Nodal Officer – Principal Commissioner of Income Tax, NWR, Aayakar Bhawan,

Sector 17-E, Chandigarh by mentioning the PAN number of the Applicant Companies; and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the applicant companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

XIV. In terms of Clause 4.5 of the Scheme of Arrangement, the Resulting Company shall be responsible for outcome of the pending litigation bearing number 126 CWP-17097-2018 at Punjab and Haryana High Court challenging the award granted by the Industrial Tribunal Court-cum-Labour Court, Faridabad and directed to pay Rs. 75,000/- to one of its contract workers shall be transferred as part of the Demerged Undertaking / Core Undertaking from the Demerged Company (Applicant Company 1) to Resulting Company (Applicant Company 2) (affidavit filed vide Dairy No. 00049/2 dated 18.04.2024). The Resulting Company shall honor the decision of Hon"ble Punjab & Haryana High Court in the current pending litigation, subject to legal rights of the Applicant Companies.

XV. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

XVI. The authorized representative of the Applicant Company No.1 shall furnish an affidavit of service of notice of meeting and publication of advertisement and

compliance of all directions contained herein at least a week before the proposed meeting.

XVII. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

22. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned counsel for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer immediately.

Sd/-

(L. N. GUPTA)
Member (Technical)

Sd/-

(Harnam Singh Thakur)
Member (Judicial)

May 31 ,2024
TB